

eighteen months. These carry low levels of risk usually, but you need to constantly watch out for mutual funds buying lower-quality bonds to spike returns.

We read earlier that government bonds are the safest and, therefore, carry the lowest interest rates because there is zero risk of default. In other words, the government will always pay up its debts. But as the risk of non-payment of interest and principal rises, the bonds get graded lower and lower.

If triple-A (AAA) is the safest kind of bond you can buy, a double-B (BB) means fairly high levels of risk. For now, all you need to remember is that if an ultra-short-term fund is showing very high (compared to the category of ultra-short-term debt funds) return rates, look deeper into why. It is usually safe to stay with large funds from large well-known fund houses. If you cannot understand this yourself, you definitely need to work with a financial planner, or read more.

Other types of debt fund

There are other categories of debt funds – corporate bond fund, medium-term bond funds, credit risk funds, long-term bond fund, G-Sec funds and monthly income plans (MIPs). For a person beginning the journey of investment, I think you should keep it simple in the beginning, so I won't go into explanations of all the other kinds of debt funds in the market.

Also, I don't think you need any other debt fund product besides the two we talked about.

What should you do if your investment horizon is two years? You should stay with the ultra-short-term fund, though I use a conservative balanced fund. These are debt funds with a small flavour of equity. The large bond-holding takes away the volatility that equity brings in a bad stock market. But equity adds to the overall returns in a good stock market.

Once you understand mutual funds better, you can switch out of debt funds for cash needs beyond one year or one-and-a-half years and buy balanced funds too.